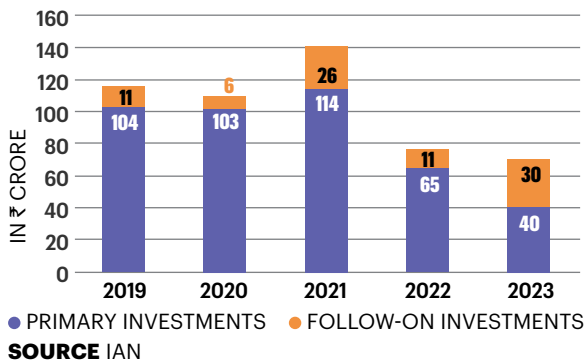


MONEY TALKS

► Though IAN's funding has dipped slightly, the follow-on investment component has increased

► During the peak of the funding winter in 2022, IAN made new investments worth ₹65 crore

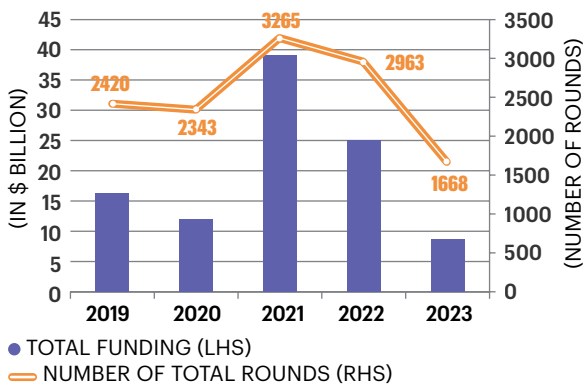


DEEP FREEZE

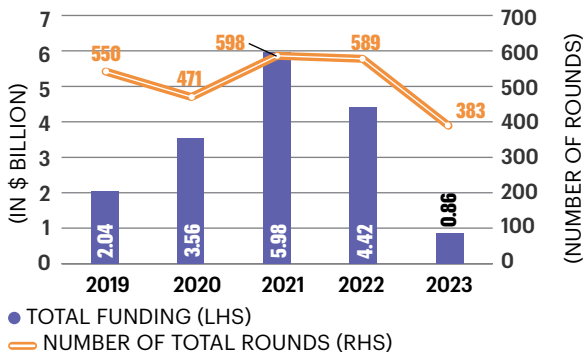
► The number of funding rounds in Indian start-ups fell to 1,668 in 2023 from 3,265 in 2021

► Funding in women-led start-ups too dropped to an all-time low of \$859.5 million

INDIAN START-UPS OVERALL



WOMEN-LED START-UPS



SOURCE TRACXN

investments go up and down in a cycle. "It keeps going up and down, but it is taking too long this time. The yearly funding should reach at least \$15-20 billion to be called cyclical," he says.

Pai says the cycle depends on macroeconomic conditions in the West, which is the source of most investments in Indian start-ups (85% of the investments come from abroad). Cycles are a global phenomenon driven by the macroeconomic conditions.

K. Ganesh, another serial entrepreneur and investor, says private equity and VC funds are sitting on many capital commitments. "But I think we have to recognise and acknowledge that funding velocity, ticket size and valuation of start-ups did go downhill," Ganesh says. "When the market was hot, money was chasing deals, but now deals that would have taken two months to close are running into delays of six to eight months."

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RUPAREL SAYS THAT one of the biggest cash components for early-stage start-ups is the salary bill of senior people. "Many of our portfolio start-ups reduced the salaries of the senior people and survived the pandemic and funding winter of 2020," she says, dodging questions about job cuts.

IAN was there to mentor such start-ups and give quick feedback on critical issues. Akash Gupta, Co-founder and CEO of Zypp Electric, says, "IAN has guided us throughout our journey. They have helped us on multiple fronts, including cash management and hiring decisions."

IAN was established as a network of angel investors supporting early-stage start-ups in agriculture, e-commerce, education, hospitality, semiconductors, and retail. It had been almost a year since Raghuram Rajan, then the International Monetary Fund's chief economist, had said financial risks were increasing and there could be a catastrophic meltdown. No one believed him until the meltdown happened in 2008.

Foreign funding shrank, but India's central bank did well in insulating the country from the crisis. Volumes picked up in 2011, and IAN and a clutch of angel investors helped power many early-stage start-ups in Bengaluru, Mumbai, and Delhi-NCR.